15. Shareholders’ Equity

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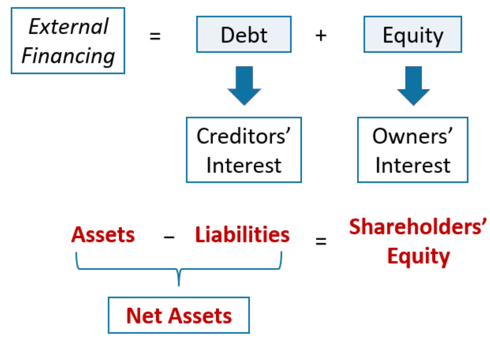
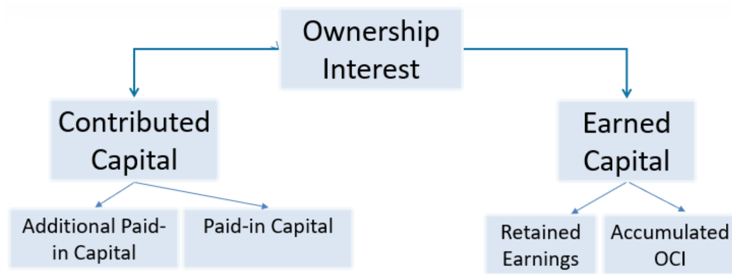
18.1 The Nature of Shareholder's Equity



- A corporation raises money to fund its business operations by some mix of **debt** and **equity** financing.
  - This chapter focuses on various forms of equity financing.
  - The ownership interest is represented by shareholder's equity, a residual claim on the firm's asset after creditor claim (or net assets).



- Components of stockholder's equity
  - Contributed (or paid-in) capital – amount invested by shareholders
    - Paid-in capital
    - Additional paid-in capital in excess of par
  - Earned Capital – amounts earned by the corporation on behalf of its shareholders
    - Retained earnings (RE)
    - Accumulated other comprehensive income (AOCI)

- The shareholders' equity title has several aliases:
  - Shareholder's Investment (Target)
  - Shareowner's Equity (General Electric)
  - Stockholder's Equity (Walmart)
  - Shareholder's Equity (Apple)

15.2 Stockholder's Equity Components

Paid-in Capital

- Consists primarily of amounts:
  - **Invested** by shareholders when they purchase shares of stock from the corporation
  - Arise from the company **buying back** some of those shares or
  - From **share-based compensation activities**

Retained Earnings

- Earnings accumulated on behalf of the shareholders and reported as a single amount.

Accumulated Other Comprehensive Income

- Extends our view of income beyond net income reported in an income statement to include four types of gains and losses not included in income statements:
  1. Net holding gains (losses) on available-for-sale investment in debt securities
  2. Gains (losses) from and amendments to postretirement benefit plans
  3. Deferred gains (losses) on derivatives ("cash flow hedge")
  4. Adjustments from foreign currency translation

Treasury Stock

- Shares previously sold to shareholders that are bought back by the corporation

EXPOSITION CORPORATION
Balance Sheet
December 31, 2021
($ in millions)
Shareholders' Equity

Paid-in capital		
Capital stock (par):		
Preferred stock, 10%, $10 par, cumulative, nonparticipating	$100	
Common stock, $1 par	55	
Common stock, dividends distributable	5	
Additional paid-in capital:		
Paid-in capital—excess of par, preferred	50	
Paid-in capital—excess of par, common	260	
Paid-in capital—share purchase	8	
Paid-in capital—conversion of bonds	7	
Paid-in capital—stock options	9	
Paid-in capital—restricted stock	5	
Paid-in capital—lapse of stock options	1	
Total paid-in capital		$500
Retained earnings		1,670
Accumulated other comprehensive income:		
Gain (loss) on AFS investments (unrealized)	(85)	
Net unrecognized gain (loss) on pensions	(75)	
Deferred gain (loss) on derivatives	(4)	
Adjustments from foreign currency translation	-0-	(164)
Treasury stock (at cost)		(6)
Total shareholders' equity		$2,000

These are the cumulative sum of the changes in each component of other

Comprehensive Income

A. One of the key measures in evaluating a firm's performance is <u>Net Income</u>
   - Therefore, how we measure net income can affect accounting information users' decision-making process.

B. What is **Comprehensive Income** (CI)?
   - Until mid-1990s net income was defined/computed as follows:
     - NI = (revenues - expenses) + (all gains - all losses)
   - However, people started questioning that the NI measured this way does not really capture a firm's economic situation and measure its performance properly because certain gains/losses add unnecessary volatility to its NI.
   - The FASB decided that some subset of gains/losses is taken out of NI calculations and the netted amount of those gains/losses are called other **comprehensive income**.
   - The FASB classified all gains/losses into two groups starting 1997.
     - Group 1: This group of gains/losses related to firms' **core operation** remains in the NI calculation (e.g., gain from the sale of equipment).
     - Group 2: This group of gains/losses is related to firms' **non-core operations**, named as "other comprehensive income" and excluded from NI calculation.
   - Other comprehensive income (OCI) includes following gains/losses.
     - Gains (losses) from and amendments to postretirement benefit plans
     - Deferred gains (losses) on derivatives (from cash flow hedges)
     - Adjustments from foreign currency translation
   - Comprehensive income can be defined as follows:
     - Comprehensive Income = NI (new) + OCI, where

       new NI = (revenues - expenses) + (**Group 1** gains – **Group 1** losses)

       OCI = Group2 gains – Group2 losses

C. What is **Accumulated Other Comprehensive Income (AOCI)?**
   - The cumulative amount of OCI (like NI is accumulated in R.E.)
   - An analogy :(Net Income to Retained Earnings) is (OCI to AOCI)

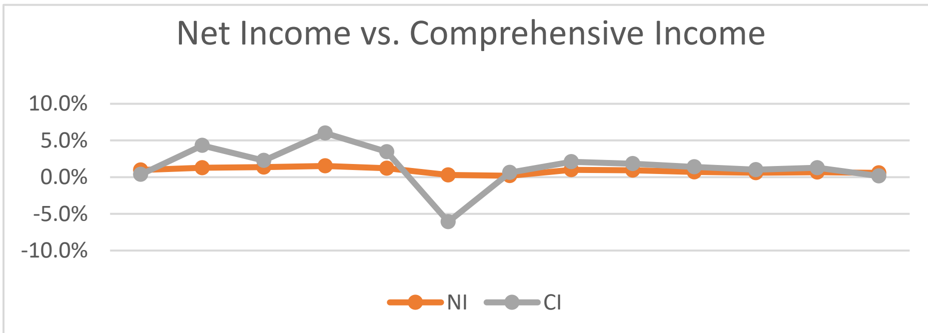
D. We report two attributes of OCI in financial statements:
   - Components of comprehensive income ***created during the reporting period (i.e., OCI)*** in the **statement of comprehensive income**
   - The other comprehensive income ***accumulated*** (AOCI) over the current and prior periods in the **balance sheet**

Statement of Comprehensive

		($ in millions)
Net income		$XXX
Other comprehensive income		
Gains (loss) on AFS investments (unrealized), (net of tax)	$ X	
Gain (loss) from amendments to postretirement benefit plans (net of tax)	(X)	
Deferred gain (loss) on derivatives (net of tax)	(X)	
Adjustments from foreign currency translation (net of tax)	X	XX
Comprehensive income		$XXX

F. **Why a separate reporting of OCI from NI is important?**

- To separately report a firm's operations from:
  - Core operations (net income), and
  - Non-core operations (other comprehensive income), which adds more volatility to an "income" measure.
- The separate reporting helps users of financial statements better predict a firm's future performance (earnings or cash flows).
- The following graph plots the time-series median NI & CI of 11,000 publicly traded companies in the US scaled by total assets. You can see CI is more volatile.



15.3 The Corporate Organization

- A company can be organized in three ways:
  - a sole proprietorship,
  - a partnership, or
  - a corporation - a focus of this chapter

- Advantages of corporations
  - Limited liability
    - A corporation is a separate legal entity (separate and distinct from its owners), responsible for its own debts.
    - The **owners are not personally liable for debts** of a corporation.
    - Shareholders’ liability is **limited to the amounts they invest** in the company when they purchase shares.

  - Ease of raising capital
    - Corporations sell ownership interest in the form of shares of stock and hence **ownership rights are easily transferred.**

- Disadvantage of corporations

  - Regulation
    - The state and federal governments impose extensive **reporting requirements.**
    - Primarily the required paperwork is intended to ensure adequate disclosure of information needed by investors and creditors.

  - **Double taxation**
    - Income taxes on their earnings
    - When those earnings are distributed as cash dividends, shareholders pay personal income taxes on the previously taxed earnings.
    - In an S corporation, the corporation pays no income tax, but the taxable income from the corporation is taxed directly to the S corporation stockholders.

Part 2: Paid-in Capital

15.4 Classes of Shares

- **Common shares**: Ownership rights held by common shareholders, unless specifically withheld by agreement with the shareholders, are:
  - The **right to vote** on matters that come before the shareholders Including the election of corporate directors
  - The right to share in profits when **dividends** are declared
  - The right to share in **the distribution of assets** if the company is liquidated

- **Preferred Shares**
  - Dividend preference before common shareholders
  - A preference to the assets over common shareholders during liquidation
  - Preferred shareholders sometimes have
    - The right of conversion: preferred stock → common stock or
    - A redemption privilege: preferred stock → cash
  - Preferred shares may be:
    - Cumulative or noncumulative:

      Dividends in *arrears* accumulate and must be made up in a later dividend year before any dividends are paid on common shares
    - Participating or nonparticipating

      Allows preferred shareholders to receive additional dividends beyond the stated amount, or a pro rata allocation of the total dividend pool

- **Is It Equity or Is It Debt?**
  - Preferred shares are somewhat hybrid securities - a cross between equity and debt
    - **Equity** because preferred shareholders receive dividends each year the company pays dividends
    - **Debt** because the company is obligated to pay cash (or other assets) at a fixed or determinable rate in the future
  - Most preferred shares are included in the **equity section**
  - **Mandatorily redeemable preferred shares:** The company is obligated to buy back the shares at a specified future date
    - Reported as **a liability**, not as shareholders' equity

15.5 The Concept of Par Value

- The par value of a stock has no relationship to its fair value.

  - Most shares continue to bear arbitrarily designated par amounts.

  - Shares with nominal par amounts became common to dodge elaborate statutory rules pertaining to par value shares.

  - Like the designations of common and preferred shares, the concepts of par value and legal capital have been eliminated entirely from the Model Business Corporation Act → No par value stocks are possible.

- A company uses two accounts to record the issuance of common stock:

  - **Common stock** - This account reflects the par value of issued shares. A company credits this account when it originally issues the shares.

  - **Paid-in-Capital in Excess of Par – Common Stock** – This account indicates any excess over par value paid in by stockholders. It does not have greater claims on the excess paid than other holders of the same class of shares.

15.6 Stock Issued for Cash

Illustration 15.1: Share Issuance

Facts Assume that **TripNerd** issued 4,000 shares of stock with a par value of $1 for $10 per share.

Questions What entry would TripNerd make to record this transaction?

Solution The stock was issued for $10 per share, which is $9 greater than the par value. The entry to record the issuance is as follows:

If the share is **no-par**, the entry is as follows:

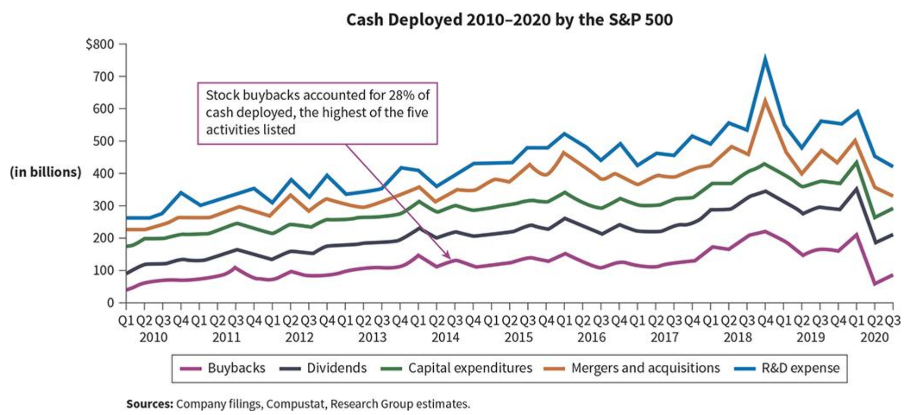
Concept Quiz #2

1. On February 1, Year 1, Kew Corp., a newly formed company, had the following stock issued and outstanding:
   Common stock, no par, $1 stated value, 10,000 shares originally issued for $15 per share.
   Preferred stock, $10 par value, 3,000 shares originally issued for $25 per share.
   Kew's February 1, Year 1, statement of stockholders' equity should report

	Common stock	Preferred stock	Additional paid-in capital
a.	$ 150,000	$30,000	$ 45,000
b.	$ 150,000	$75,000	0
c.	$ 10,000	$75,000	$ 140,000
d.	$ 10,000	$30,000	$ 185,000

15.7 Share Repurchase

- What is stock repurchase?
  - Companies often reacquire (or repurchase) shares previously sold in open markets.
  - It is often viewed as a way to "distribute" company profits without paying dividends.
  - Firms spend hundreds of billions of dollars in stock repurchases.



- Why do companies buy back their own stocks?
  - When managers believe their **stock is undervalued,** they buy back their own stocks at a "lower" price.
    - By doing so, the remaining shareholders will receive additional returns in the marketplace because there are fewer shares outstanding.
    - Decreasing the supply of shares in the marketplace supports the price of the remaining shares.
  - Companies buy back shares to **offset the increase in shares issued to employees** in compensation plans.
  - A company may want to reduce its shares if it is **concerned about a hostile takeover**.
    - If it has more control over the shares, it makes it more difficult for the possible unfriendly acquirer.

- How do companies account for the buyback?
  - Companies can either 1) **retire shares** reacquired or 2) **keep them as treasury stock** to resell purposes.
  - **Reacquired shares**
    - are not assets,
    - have no voting rights,
    - receives no dividends

- Accounting for Treasury Stock - Acquisition
    - The purchase of treasury stock is viewed as a **temporary reduction of shareholders' equity.**
    - The cost of acquiring the shares is "temporarily" debited to the treasury stock account
    - Shares are considered to be issued, but not outstanding.
    - **The purchase** of treasury stock and its **subsequent resale** is considered to be a "single transaction".
    - This approach to accounting for treasury stock is referred to as the "cost method".

- Accounting for Treasury Stock - Resale
    - The resale of treasury shares is viewed as the consummation of the "single transaction: begun when the treasury shares were purchased.

Part 3: Retained Earnings

Retained earnings represents a corporation's accumulated, **undistributed net income** (or net loss). A more descriptive title would be **reinvested earnings.**

15.8 Dividends

Distributions of assets the company has earned on behalf of its shareholders, typically cash

Few companies pay dividends in amounts equal to their legally available retained earnings

- To maintain agreements with creditors.
- To meet state incorporation requirements.
- To retain assets, to finance growth or expansion.
- To smooth out dividend payments.
- To build up a cushion against possible losses.

Liquidating Dividend

- When a firm pays dividends more than the balance in retained earnings, the excess is referred to as a **liquidating dividend**.
- Any dividend not based on earnings reduces corporate paid-in capital.
- The portion of these dividends in excess of accumulated income represents a return of part of the stockholder's investment.

Illustration 15.8 – Liquidating Dividend

Facts McChesney Mines Inc. issued a "dividend" to its common stockholders of $1,200,000. The cash dividend announcement noted that stockholders should consider $900,000 as income and the remainder a return of capital.

Question How should McChesney Mines record the dividend?

Declaration Date

Payment Date

Retained Earnings Restrictions

- Designates a portion of the balance as being unavailable for dividends.
- Indicated by a disclosure note to the financial statements.
- Rarely, a formal journal entry may be used to reclassify a portion of retained earnings to an "appropriated" retained earnings account.
- A restriction of retained earnings communicates management's intention to withhold assets represented by a specified portion of the retained earnings balance.

Recording of Dividends

- The legal obligation exists only after a company's board of directors votes to declare a dividend → Retained earnings balance decreases and dividends payable is recorded.

Illustration 15.9: Accounting for dividend declaration and payment

On June 1, the board of directors of Craft Industries **declares** a cash dividend of $2 per share on its 100 million shares, payable to shareholders of record June 15, to be paid July 1:

June 1 – Declaration Date

[a] Cash dividend payable (100 million shares x $2 per share = $200 million)

June 14 – Ex-dividend Date - No entry needed

June 15 – Date of Record - No entry needed

July 1 –Payment Date

- Date of record vs. ex-dividend date
  - The date of record is the date when the determination will be made of the recipients of the dividends.
  - Registered owners of shares of stock on this date are entitled to receive the dividend.
  - To be a registered owner investor must purchase the shares before the ex-dividend date, which is usually one business day before the date of record.

15.9 Stock Dividends

- Issuance of its own stock to stockholders by a company on a pro-rata basis, without **receiving any consideration**.
  - Shareholders’ proportional interest in the firm remains unchanged.
  - Market price per share will decline in proportion to the increase in the number of shares distributed in a stock dividend.
  - When stock dividends are issued, earned capital (retained earnings) turns into (or are reclassified as) investment capital (paid-in capital)

- **Reasons for stock dividends**
  - Neither a company nor shareholders financially benefit from stock dividends, then why stock dividends are issued?
  - Companies try to give shareholders the illusion that they are receiving a real dividend.
  - Merely to enable the corporation to take advantage of the accepted accounting practice of capitalizing retained earnings.

15.10 Stock Splits

- **Objective**
  - To **reduce the market value** of shares.

- **Accounting issues**
  - **No entry** will be recorded for a stock split.
  - **Stock splits decreases** par value, but **increases** the number of shares

Stockholders' Equity **Before** 2-for-1 Split	
Common stock, **100 shares at $10 par**	$1,000
Retained earnings	500

Stockholders' Equity **After** 2-for-1 Split	
Common stock, **200 shares at $5 par**	$1,000
Retained earnings	500

Effects of Dividends and Stock Splits on Financial Statement Elements

			Declaration and Distribution of		
Effect on:	**Declaration Of Cash Dividend**	**Payment of Cash Dividend**	**Small Stock Dividend**	**Large Stock Dividend**	**Stock Split**
Retained earnings					
Capital stock					
Additional PIC					
Total S.E.					
Working capital					
Total assets					
# shares outstanding					

Problem 1 - Ito Company Share Transactions (Exhibi 11.1)

Consider the following equity transactions for the Ito Company.

1. Ito Company issues 100 shares of $1 par value common stock at an initial market price of $10 per share.
2. The market value of the Ito common shares increases to $12 per share.
3. Ito repurchases 30 shares of its common stock at $12 per share.
4. The market value of the Ito common shares increases to $13 per share.
5. Ito reissues 10 shares of its treasury common shares at $13 per share.

What is the ending balance of Cash, Common stock ($1 par), Additional paid-in-capital, Treasury Stcok?

Solution

EXHIBIT 11.1 **Share Issue and Repurchase Transactions**

THE ITO COMPANY

	Transaction 1	2	3	4	5	Balance Sheet Totals
Assets						
Cash	1,000	No Entry	(360)	No Entry	130	**770**
Shareholders' Equity						
Common stock ($1 par)	100					100
Additional paid-in-capital	900				10	910
Treasury stock			(360)		120	(240)
Total shareholders' equity						**770**

Problem 2 - The Sherwin Company (Review 11.3)

At the beginning of the year The Sherwin Company had 200,000 outstanding shares of $1 par common stock. On June 30 the company declared a 2-for-1 forward stock split.

1. How many shares of common stock are outstanding following the stock split?
2. What is the par value of the outstanding stock following the stock split?
3. How would The Sherwin Company record the stock split?

Solution:

1. 200,000 × 2 = 400,000
2. $1 ÷ 2 = $0.50
3. No entry is necessary.

Problem 3 - The Valentine Company (Review 11.4)

The Valentine Company uses employee stock options as an employee incentive in hopes to increase retention. On January 1 the company issued employee stock options on 100,000 shares of Valentine stock. At the time of the issuance the stock was trading at $50 per share. The options were issued with a $50 strike price and vest in five years. The estimated value of the options on the grant date was $1,000,000. The Valentine Company common stock is no par.

Soluion:

	Year 1	Year 2	Year 3	Year 4	Year 5
Common stock	$200,000	$200,000	$200,000	$200,000	$200,000
Retained earnings:					
Stock compensation expense	(200,000)	(200,000)	(200,000)	(200,000)	(200,000)

Problem 4 - The Arcadia Company (Review 11.5)

The Arcadia Company began operations on January 1, by issuing 500,000 shares of $1 par value common stock at a price of $10.00 per share. During the first year of operations, the company generated revenue of $2 million and incurred expenses totaling $800,000. (Assume all transactions are in cash.) During its second year of operations, the company executed the following events in the sequence listed:

1. Declared a 2-for-1 forward stock split.
2. Repurchased 10,000 shares of its common stock for cash at a price of $15 per share.
3. Declared and distributed a ten percent stock dividend on the outstanding shares at a time when the market price per common share was $18 per share.
4. Paid a cash dividend of $0.10 per share on all outstanding common shares.
5. Generated revenue of $3 million and incurred expenses of $1.2 million.

Record the transactions for Years 1 and 2 for The Arcadia Company. Using the account balances at the end of Year 2, prepare the shareholders’ equity section of the balance sheet for The Arcadia Company.

Solution

THE ARCADIA COMPANY

	Issue Stock	Generate Revenue	Incur Expenses	EOY 1 Balance Sheet	a. 2:1 Stock Split	b. Repurch. Shares	c. 10% Stock Dividend	d. Cash Dividend	e. Generate Revenue	e. Incur Expenses	EOY 2 Balance Sheet
Assets											
Cash	$5,000,000	$2,000,000	$(800,000)	$6,200,000		$(150,000)		$(108,900)	$3,000,000	$(1,200,000)	$7,741,100
Total assets				**$6,200,000**	no entry						**$7,741,100**
					::						
Shareholders' Equity					::						
Common stock ($1 par)	500,000			500,000	reduce		49,500[1]				549,500
Additional paid-in-capital	4,500,000			4,500,000	par		1,732,500				6,232,500
Retained earnings				1,200,000	to		(1,782,000)[1]	(108,900)[2]			1,109,100
Revenues		2,000,000			0.50				3,000,000		
Expenses			(800,000)		::					(1,200,000)	
Treasury stock				—		(150,000)					(150,000)
Total shareholders' equity				**$6,200,000**							**$7,741,100**

THE ARCADIA COMPANY
Partial Balance Sheet

Shareholders' equity	
Common stock, $0.50 par value 1,099,000 shares issued; 1,089,000 shares outstanding	$ 549,500
Additional paid-in-capital	6,232,500
Retained earnings	1,109,100
Treasury stock	(150,000)
Total shareholders' equity	$7,741,100

------------------------------ The End of Chapter 11 : Shareholders' Equity ---------------------------------